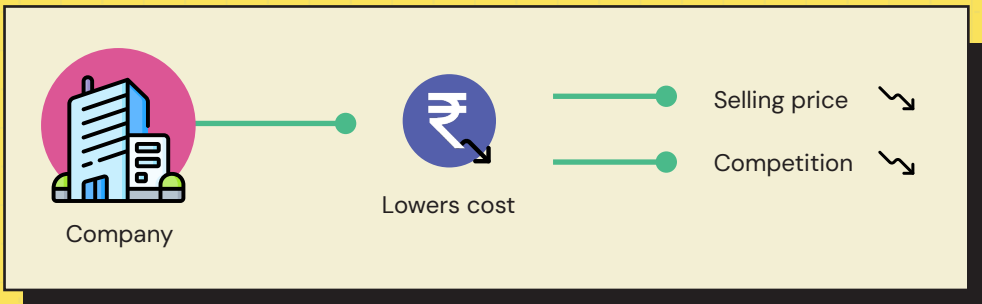


PRICE

Companies can also gain an advantage through pricing. These advantages arise out of lower costs or better revenue models. Lower costs will enable a company to sell at lower prices and drive out its competition. If a company chooses not to compete over price, lower costs can still lead to higher margins.



Example

For example, if a pharmaceutical manufacturer's research and development department comes up with a way to manufacture certain popular active pharmaceutical ingredients (APIs), then the company can sell the APIs at lower prices to capture a wider portion of the market. If the demand in this market is not sensitive to price and the benefit from lowering prices is negligible, then the company can decide to continue selling at the same price while having a higher per-unit profit or higher margin.

